

GS EU FINANCIALS SPEC SALES: LONG LLOYDS

FICC and Equities

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This was a very strong call from the formidable duo Charlie and William. The pushback from this morning on deposits mix has been well addressed and should be reassuring. More importantly the comments on the structural hedge are very constructive with 98% of 2025 being locked in and 4/5 of 2026 also locked in. William is also pointing to slight upside to the structural hedge given slightly higher rates. Taking this account and CoR run rate at 19bps vs target of 25bps could lead to some upside on targets. On Motor, they still expect a decision before summer recess and base case might be that the supreme court in itself does not change the provisions as they will wait for the FCA review. Net net taking all of this into account, happy with my long Lloyds here and the shares could do better today. This is a stock still trading on 7x for 20%+ EPS growth for next 2 years and ROTE in the high teens. The deposits and mortgage comments should reassure on Natwest too (I am long). The key take away are

- **DEPOSITS MIX:** this was the pushback this morning which drove the share price down at some point. William gave some reassuring answers. First of all, there is some seasonality element in the strong ISA and the months of May and June showed some tapering with deposits flow returning to normality. Secondly , ISA customers are profitable customers as they have deeper product holding within the group (twice the avg). Thirdly the PCA outflows should be looked for the first half rather than Q2 and first half outflow is small at £0.7bn.
- **HEDGE:** this is a bull msg as their confidence in the structural hedge increasing by £1.2bn in 2025 and £1.5bn in 2026 has increased. 98% of 2025 is locked in and 4/5 of 2026 is also locked in.

Rates are a touch stronger so the little bit of upside building into that. Finally, the hedge will continue to provide support beyond 2026.

- **MORTGAGE:** strong mortgage growth in H1 and the FCA affordability is useful and expect continue strong growth in H2. Spread at 70bps a few bps down from Q1 but not more than that and stable **FIELD TO TARGETS** □

Given the comment on structural hedge and the COR at 19bps in H1 vs the target at 25bps, it feels we could see a bit of upgrade.

Q&A NOTES

Mortgage spread

70bps a couple of bps tighter QoQ

Applications: spreads similar

Q2 patterns to continue in Q3

90/95bps maturity margin

Mortgage headwind to play out in 2026, mid year. same as described before

Deposits

Picture on deposits has been favourable, Overall up 2%

Moving piece: PCA movement in Q2 down by 1.9bn. look at it on H1.

0.7bn down in H1

Strong ISA. Pleased to participate. Market share 20%. They are affluent customers. ISA customers have deeper product holdings within the group (twice the group avg). ISA customers are profitable customer base

ISA connected with tax yr end. Storing flow in march, April . Tapering off in May and June

Deposits flow returning to normality

Structural hedge

Pretty much developing as expected

Rates touch stronger

Little bit of upside building into that

1.2bn higher in 2025. 1.5bn higher in 2026. Increased confidence in these numbers

We have 98% of 2025 done (by quarter, more in Q4 than Q3) . We have 4/5 of 2026 locked in
Structural hedge 3.5yrs maturity so will continue to support beyond 2026
Increase structural hedge by a couple of billions so show you confidence on deposits behaviour/ pattern
Yield on structural hedge <swap rate and below 3%

Mortgage pipeline

FCA affordability changes as useful
Volume of 5.6bn up in H1 – that's a good perf
Continue mortgage growth in H2

CoR

19bps in H1 CoR inside 25bps guidance
19bps ex multiple economic scenario
11bps in Q2
Benign envrt across retail and commercial and everything we are seeing is constructive

Equity invt

Welcome Mnason House speech on that front both on pension and regulation
But won't top line short term – takes time

Motor

Wait to see for the supreme
Expect decision before summer recess
Prov assume different supreme and FCA outcomes
Base case Could be that we make no change to prov on the back of Supreme as we wait for FCA (if no extreme scenario from Supreme)

All references to “we/us/our” refer to the views and observations of the desk unless otherwise specified. Trade idea max loss unlimited